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File No.: EXP202213634

RESOLUTION OF TERMINATION OF THE PROCEDURE DUE TO VOLUNTARY PAYMENT

From the procedure initiated by the Spanish Agency for Data Protection and based on the following

BACKGROUND

FIRST: On March 27, 2024, the Director of the Spanish Agency for Data Protection decided to initiate sanctioning proceedings against ING BANK N.V., BRANCH IN SPAIN (hereinafter, ING). After notifying the initiation agreement and analyzing the allegations presented, on February 10, 2025, the proposal for resolution was issued, which is transcribed below:

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File No.: EXP202213634

PROPOSAL FOR RESOLUTION OF SANCTIONING PROCEDURE

From the procedure initiated by the Spanish Agency for Data Protection and based on the following:

BACKGROUND

FIRST:

A.A.A. (hereinafter, the claimant) filed a complaint with the Spanish Agency for Data Protection on November 3, 2022. The complaint is directed against ING BANK N.V., BRANCH IN SPAIN (hereinafter, ING) with NIF W0037986G. The reasons on which the complaint is based are as follows: The claimant opened a "Non-Salary Account" with the respondent years ago. They state that, a few months ago, this entity informed them that their account would be renamed "Non-Account" and that if their balance exceeded 30,000 euros (as was the case), fees would be applied, recommending that they open another "Non-Account" and distribute the balance between both, which involved transferring a balance whose origin was justified at the time. However, they state that as a requirement to contract the new account, the respondent requires them to give their express consent for the entity to request information about their economic activity from the General Treasury of Social Security, to carry out a verification of the same and thus comply with the provisions of Law 10/2010, of April 28, on the prevention of money laundering and the financing of terrorism (LPBCFT). Along with the complaint, they provide a screenshot (dated November 3, 2022) related to the contracting of the "Non-Account" in which it is indicated that to finalize the contracting "it is necessary that you consult and download the pre-contractual information and the information document on fees," followed by a clause indicating that the express consent for ING to request information from the Social Security Treasury (TGSS) about their economic activity is confirmed, with the button "confirm" appearing. It is also added that, "By clicking Accept, you confirm and accept that you have read the Service Provision Contract and its Annexes...".

The claimant asserts that ING indiscriminately and disproportionately collects data from its clients regarding their situation with the General Treasury of Social Security, applying a misinterpretation of the LPBCFT, given that R.D. 304/2014, of May 5, which approves the Regulation of Law 10/2010, of April 28, establishes that "obligated subjects will verify the activities declared by clients in the following cases:

- a) When the client or the business relationship presents risks higher than average, by regulatory provision or because this is inferred from the risk analysis of the obligated subject.
- b) When the monitoring of the business relationship shows that the client's active or passive operations do not correspond to their declared activity or their operational background."

Since the claimant is neither in case a) nor in case b), they consider that ING uses the LPBCFT as an excuse to have them sign an authorization, thus violating principles protected by the Constitution and the Data Protection Law.

On the other hand, in their complaint, they consider that ING violates fundamental rights by including, to finalize the contracting of the accounts, a clause that authorizes it to request information from the General Treasury of Social Security on behalf of the clients:

ING Clause: "I confirm that I have been informed by ING BANK N.V., Branch in Spain, that the current

legislation on the prevention of money laundering obliges banking entities to obtain from their clients information about their economic activity and to carry out a verification of the same. For this exclusive purpose of verifying the information provided, I give my express consent to ING BANK N.V., Branch in Spain to request this information from the General Treasury of Social Security on my behalf. The data obtained from the General Treasury of Social Security will be used exclusively for the management indicated above. In the event of non-compliance with this obligation by the financial entity and/or the personnel providing services therein, all actions provided for in Organic Law 3/2018, of December 5, on Personal Data Protection and Guarantee of Digital Rights will be executed."

SECOND:

In accordance with Article 65.4 of Organic Law 3/2018, of December 5, on Personal Data Protection and Guarantee of Digital Rights (hereinafter LOPDGDD), the aforementioned complaint was forwarded to ING for it to proceed to its

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analysis and inform this Agency within one month of the actions taken to comply with the requirements set forth in the data protection regulations.

The transfer, which was carried out in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), was recorded on 09/01/2023 as stated in the acknowledgment of receipt in the file.

On 08/02/2023, a response was received by this Agency indicating the following aspects:

- Your data protection officer has not prepared a specific report on the processing consisting of the verification of the employment data of clients/potential clients, but is included in a broader processing known as Customer Identification and Due Diligence (Customer Due Diligence (CDD) and Know Your Customer (KYC)). It also states that the system used to share information for the employment verification of its clients is periodically monitored by its security department.
- It considers that it is not necessary to take measures regarding the complaint presented, referring to the Agreement signed between the TGSS, the Spanish Banking Association, the Spanish Confederation of Savings Banks, and the National Union of Credit Cooperatives regarding the transfer of information, to justify the establishment of the clause in question.

It continues to acknowledge that the clause copied by the complainant in their complaint is indeed part of the contracting process for both the Payroll Account and the Non-Payroll Account (without payroll), explaining the process that must be followed. Thus, it details that, after accessing the website www.ing.es, once the client selects the contracting of the Payroll Account or the Non-Payroll Account, the first thing they are asked to provide is their email, their ID number, and their date of birth.

Subsequently, other personal data such as first and last names, nationality, marital status, and address are requested.

Next, it proceeds to the employment data screen where the client is asked for their employment status, professional activity, labor sector, company, monthly income, purpose of the main relationship, and source of funds, and the clause is displayed where consent is requested for the verification, with the General Treasury of Social Security (TGSS), of the employment data provided, information that is also included in the Privacy Policy for clients and potential clients that can be consulted on the website www.ing.es, section "Privacy and Cookies" and in the Service Provision Contract for clients.

The wording of the clause is a mandatory text provided by the TGSS to the entities that wish to use its verification service and that have voluntarily adhered to the Agreement mentioned below, in which Annex III contains the model clause to be used.

On 01/17/2008, the Spanish Banking Association (AEB), the Spanish Confederation of Savings Banks (CECA), and the National Union of Cooperatives of

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Credit (UNACC) signs an Agreement with the TGSS regarding the transfer of information in order to facilitate compliance with anti-money laundering regulations by credit institutions, through a mechanized computer procedure that allows for a daily process of data requests by financial entities and the transmission of information by the TGSS. This Agreement was re-signed in its latest version in March 2021.

This service is referred to as the Income Source Verification Service (SVFI), whose fundamental objective is to verify the truthfulness of the information that financial entities collect from their clients, in order to understand the nature of their professional or business activity, which clients provide when establishing business relationships. It is a daily process whereby the financial entity sends a file with the identification of its individual clients, for whom it requests information about the nature of the professional or business activity derived from their affiliation with Social Security. The TGSS processes these files daily, completing the required information within them.

With the NIF provided by the client, ING queries the TGSS and verifies the information provided in the employment status field (for all its clients) and, subsequently, also the payer (for medium/high-risk clients). ING does not request any other information from the TGSS, nor the client's work history, nor any information other than what has already been provided by the client. It only verifies that the information provided by the client is true and for the purpose of fulfilling a legal obligation.

As indicated in the Agreement itself, the specific purpose of this service provided by the TGSS to the adhering entities is as follows: "The transfer of information from the TGSS databases to the member Entities of AEB/CECA/UNACC has the exclusive purpose of verifying the truthfulness of the information that Financial Entities collect from their clients, in order to understand the nature of their professional or business activity, which clients provide when establishing business relationships."

THIRD:

On February 3, 2023, in accordance with Article 65 of the LOPDGDD, the claim submitted by the claimant was admitted for processing.

FOURTH:

According to the information available on ING.es

([ing.es/sobre-ing/sala-prensa/ing-impulsa-su-crecimiento-resultados-anuales](https://www.ing.es/sobre-ing/sala-prensa/ing-impulsa-su-crecimiento-resultados-anuales)), ING Spain and Portugal has a business volume of 1,091,000,000 euros in the year 2023.

FIFTH:

On March 27, 2024, the Director of the Spanish Agency for Data Protection decided to initiate sanctioning proceedings against the respondent, in accordance with the provisions of Articles 63 and 64 of the LPACAP, for the alleged infringement of Article 6.1 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), classified under Article 83.5 of the GDPR.

SIXTH:

Once the aforementioned initiation agreement was notified in accordance with the established rules in LPACAP, the respondent submitted a written statement of allegations in which, in summary, it stated that:

1.- ABOUT THE FACTUAL ASSUMPTION

- The claimant has been a client of ING since December 2013 and in October 2023, requested the opening of another current account, called "Cuenta No Cuenta," and in accordance with the Anti-Money Laundering regulations, ING must identify and verify the client.
- ING informs all its clients, including the Claimant, that under the AML regulations, they must provide information about their economic activity.
- ING, through the Spanish Banking Association, as a signatory entity of the Agreement with the General Treasury of Social Security ("TGSS"), the Spanish Confederation of Savings Banks, and the National Union of Credit Cooperatives regarding the transfer of information (hereinafter referred to as "the Agreement"), is authorized to use a mechanized procedure that allows financial entities to verify information about the economic activity of their potential clients through the TGSS, in order to execute the verification of the information required by the AML regulations.
- For the above reasons, under the aforementioned Agreement and in compliance with the AML

regulations, ING verifies the economic activity of potential clients in the context of opening a bank account by querying such data from the TGSS.

- In this specific case, the account opening is conducted online (as is customary, since ING is an eminently digital bank). Therefore, the Claimant is informed of such processing, its legitimacy, and scope in the digital account opening process, with the requirement that the client clicks the "Continue" button as a sign of having read the information regarding such processing and their desire to proceed with the process.

Additionally, this processing is detailed in the Privacy Policy for clients and potential clients (section 3), which can be consulted at any time on the website www.ing.es, under the "Privacy and Cookies" section, and is also included in the Service Provision Contract for clients.

As stated in the notification of the opening of the evidence-taking period, the current privacy policy of the entity has been duly recorded on its website.

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2.- ON THE PROCESSING OF DATA

Of all the data obtained directly from the interested party for the hiring process of the payroll account and the non-account, the only data subjected to subsequent verification are the data of 'employment status' and 'payer', the latter only if applicable. ING does not verify or consult the client's employment history or any additional data that may be held by the TGSS.

The data obtained do not constitute sensitive or specially protected data, in the sense of Article 9 of the GDPR, but rather constitute basic economic data.

There is no processing or access to data of the interested party other than those already provided, so the impact for the interested party does not increase nor does it result in a more invasive processing.

Regarding the purpose of this verification, it is limited to checking that the data provided by the interested party is correct, accurate, and truthful. Under no circumstances is this verification carried out or executed for purposes other than to comply with the PBC Regulations. Thus, ING only verifies that the information provided by the client matches that in the TGSS database.

3.- ON THE NEED TO VERIFY THE DATA AND INFORMATION PROVIDED BY CLIENTS TO THE TGSS

The obligation entrusted to banking entities to verify the information provided by clients or potential clients, in relation to their employment activities, is materialized with the signing of the Agreement that allows them to verify the truthfulness of the information collected, based on the transfer of information from the TGSS databases.

The use of an alternative method to consulting the TGSS would constitute the use of a less reliable, less secure system with a higher risk of fraud (for example, the provision by the interested party of documents that are currently susceptible to being modified or altered fraudulently through technologies available to any user, methods that would not allow for the detection or prevention of illicit acts both in terms of PBC and fraud).

In short, the verification of data before the TGSS carried out by ING is covered by the PBC Regulations themselves, making it impossible, therefore, to consider such processing as excessive or disproportionate, much less as a violation of the GDPR. Furthermore, as already noted, there is no mechanism or alternative tool available to ING or any financial entity that offers superior or equivalent guarantees to those provided by the Public Administration, through the TGSS.

4.- ON THE LEGITIMACY OF THE DATA PROCESSING CARRIED OUT BY ING

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The data processing carried out by ING, consisting of the verification of the data provided by clients, within the framework of the Customer Identification and Knowledge Process, constitutes lawful processing in the sense of Article 6 of the GDPR.

Firstly, it is regulated and enabled by the Agreement signed between the General Treasury of the Social Security, the Spanish Banking Association, the Spanish Confederation of Savings Banks, and the National Union of Credit Cooperatives regarding the transfer of information, the latest version of which (currently in force) dates from 2021.

Contrary to what is indicated by the AEPD, the Resolution of April 12, 2021, of the Technical General Secretariat, which publishes the Agreement between the General Treasury of the Social Security, the Spanish Banking Association, the Spanish Confederation of Savings Banks, and the National Union of Credit Cooperatives regarding the transfer of information does not stipulate the need for consent from clients of financial entities in the sense of Article 6.1 a) of the GDPR, to carry out the aforementioned verification, but rather refers to a mere authorization, as can be verified in the Sixth Clause of the Agreement:

“Sixth. Responsibility for the operation of the SVFI.

The Collaborating Financial Entities adhering to this Agreement must adopt the necessary technical and organizational measures to ensure the confidentiality and integrity of the data obtained by the SVFI and to guarantee its proper functioning. The Collaborating Financial Entities adhering to this Agreement shall only be responsible for the telematic exchanges in which they participate and regarding the tasks they perform in accordance with the procedure described in Annex II. Likewise, each Collaborating Financial Entity undertakes to guarantee, regarding each request it makes: a) That the requests refer to individuals who initiate business relationships with the Financial Entity or to individuals for whom, after a reasonable time, it is necessary to update their information. b) That prior to the request for information by the Collaborating Financial Entity, it has the corresponding express authorization, signed by the interested party, and agreed upon between the parties. (See Annex III).”

The Agreement not only establishes the term ‘authorization’, a term that refers to and enables execution in multiple documentary forms, but also refers to the agreement between the parties. That is to say, it subjects the eventual protocol by which the verification is authorized to the conditions agreed upon and accepted between ING and its clients. The concept of authorization differs substantially from the express and specific consent required by the AEPD, in the sense of Article 6 of the LOPDGDD. It is true that, in certain contexts, these terms can be used interchangeably, but their requirements and scope are clearly differentiated at a legal level.

In the case at hand, ING, as the Data Controller, does not base the data processing consisting of the verification of the economic information provided by the interested party before the TGSS on the consent of the interested party.

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The Agreement refers to the concept of "consent" in the sense of Article 1262 of the Civil Code, which outlines the provision of consent necessary to formalize a contract:

"Consent is manifested by the concurrence of the offer and acceptance regarding the object and the cause that constitute the contract. If the offeror and the acceptor are in different places, there is consent from the moment the offeror becomes aware of the acceptance or from the moment the acceptor has sent it and cannot ignore it without acting in bad faith. In such a case, the contract is presumed to be concluded in the place where the offer was made.

In contracts concluded through automatic devices, consent is given from the moment acceptance is manifested."

It cannot be overlooked that the provision of this consent by ING's clients is contextualized within the framework of contracting a banking product, such that the authorization required corresponds to the consent that the interested party grants to the acceptance of the product at a contractual level and not in the sense of the consent outlined in the LOPDGDD. For this reason, the AEPD cannot refer to the

need to obtain the consent of clients when what the Agreement establishes is the relevance of granting mere authorization.

Responsibility for the processing is attributed to the Data Controller, as well as the adoption of measures required for it. Therefore, it also corresponds to the Data Controller to exercise the weighing, assessment, and configuration of the same. In this sense, it is up to ING to carry out the assessment and design of the data verification process required by the AML Regulations.

Consequently, it also falls to the Data Controller, ING in this case, to establish its legitimacy.

According to the analysis carried out by ING, consent does not constitute an adequate basis for the processing of data consisting of the verification of the economic data provided by clients to the extent that it is required by the AML Regulations, as has been thoroughly justified in Allegation Three, nor does the Agreement that regulates its execution and interaction with the TGSS require it.

In this regard, Article 6.1(c) of the GDPR, when regulating data processing legitimized by compliance with a legal obligation, does not require that the specific norm that triggers its execution stipulates a specific form for obtaining the data nor determines what data should be requested, but rather allows for its processing when it is necessary for compliance with a legal obligation, as is the case here with the AML Regulations for ING:

"6.1. Processing shall be lawful only if at least one of the following applies: (...) c) processing is necessary for compliance with a legal obligation to which the controller is subject."

The EDPB refers both to the possibility of basing the processing of data for fraud prevention on Article 6.1(c) relating to compliance with a legal obligation.

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legal, including the legitimate interest (Article 6.1.f)) of the Data Controller.

Thus, while both bodies agree on the use of legal compliance as the basis for legitimization, neither mentions the possibility of basing the processing of data for the purposes of AML (Anti-Money Laundering) and fraud prevention on the consent of the data subject.

To the extent that such verification is necessary under the AML Law, the only known route for the obligated entities is through the TGSS (Social Security General Treasury), meaning it is necessary for compliance with an obligation to which ING is subject. Otherwise, while it could be considered that the provision of documentation by the potential client or the client is an alternative for compliance with AML regulations, it does not fulfill the duty of ING and all financial entities to implement effective measures for fraud prevention, considering current technologies and context. Being the only measure that ensures the intervention of an independent and impartial entity, which enables the verification of the information provided by clients, we believe that there is no other route or channel of analogous validity and efficiency to comply with the regulations diligently, even when this channel is not expressly reflected in the AML regulations.

On the other hand, while compliance with a legal obligation exists as a basis for legitimization, it must be taken into account that, in this case, both for ING and for other actors in the financial system, not only one of the assumptions of Article 6 of the GDPR applies to legitimize the processing, but, as has been stated, there is additionally a legitimate interest in preventing fraud and financial crimes such as money laundering. Therefore, the processing of data by ING for this purpose does not constitute an infringement as defined in Article 83.5 of the GDPR since at least one of the applicable bases for legitimization for this processing exists, as required by Article 6.1 of the GDPR.

5.- ON THE ABSENCE OF DAMAGE TO THE DATA SUBJECTS

The consultation of data with the TGSS carried out by ING is merely a verification that checks the accuracy and truthfulness of the information provided by clients, as already pointed out by this party, with the aim of complying with AML regulations, so it does not constitute an additional consultation of information in any case. Thus, this consultation, which concerns data previously provided by the data subject, does not increase the impact of the data processing on the privacy sphere of the data subject. Therefore, in the case at hand, there is no impact or generation of an impact on the protected legal

interest. In fact, the only scenario where it would trigger consequences or this verification would have effects would be if the data subject provided the entity with false or unreal data.

In conclusion, the processing at hand, consisting of the verification of data with the TGSS, does not produce any harm to the data subjects, and is also in accordance with data protection regulations.

6.- ON THE LACK OF PROPORTIONALITY OF THE PROPOSED SANCTION

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ING has demonstrated that it has acted with due diligence in implementing measures in the processes for verifying the origin of the income of clients and potential clients of this company. Notwithstanding the above, and in the hypothetical case that the Agency considers that there is some type of non-compliance, the sanction already included in the Initiation Agreement is, in any case, disproportionate, considering the circumstances and content of the alleged infringement, which ING vehemently denies.

SEVENTH:

On 14/01/2025, the instructor of the procedure agreed to carry out the following tests:

1. The complaint filed by A.A.A. and its documentation, the documents obtained and generated during the admission phase of the complaint, are reproduced for evidential purposes.
2. Likewise, the allegations to the initiation agreement of the referenced sanctioning procedure, submitted by ING BANK N.V., BRANCH IN SPAIN, and the accompanying documentation are reproduced for evidential purposes.
3. The current privacy policy of the entity as stated on its website is to be documented.
4. The submission of the privacy policy in effect at the time of the complaint is requested.

EIGHTH:

On 06/02/2025, a written response to the notification of the practice of tests was received, in which, within the granted period, and complying with the referred procedure, the responding party attached the privacy policy requested by the Agency.

NINTH:

A list of documents in the procedure is attached as an annex.

From the actions taken in this procedure and the documentation in the file, the following has been established:

PROVEN FACTS

FIRST:

In accordance with the allegations to the initiation agreement presented by ING on April 24, 2024, they state that in the context of the processing of personal data for the contracting of both the Payroll Account and the Non-Account Account, they collect personal data such as name and surname, nationality, marital status, address, employment status, professional activity, labor sector, company, monthly income, purpose of the main relationship or source of funds, among others.

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"Subsequently, other personal data such as first name and surname, nationality, and marital status among others, as well as their address, are requested. Once this information is provided, the screen for employment data (included in the report provided in section 4) is displayed, where they are asked for their employment details, and it is at that moment that the clause is shown. The mandatory data (marked with *) requested from the client are as follows, and the client must select one of the options from the dropdown:

- Employment status

- Professional activity
- Employment sector
- Company
- Monthly income
- Purpose of the main relationship
- Source of funds."

SECOND:

In the written allegations to the initiation agreement submitted by ING on April 24, 2024, they indicate, regarding the claimant that,

"1st.- The claimant, A.A.A. (hereinafter, the 'Claimant'), has been a client of ING since December 2013, when they contracted a bank account, referred to at that time as 'Non-Salary Account'. In October 2023, the Claimant requested the contracting of another current account, referred to as 'NoAccount'."

Furthermore, in the document submitted by ING on February 8, 2023, as a result of the request for information transfer, ING asserts that, as of the date of the response to the transfer, the claimant has the following contracted products:

"2.- CONTRACTED PRODUCTS

Active: They currently have an active Salary Account ending in 6532, contracted in December 2013.

Cancelled: Salary Account ending in 7663, contracted and cancelled in October 2022."

THIRD:

In the document dated February 8, 2023, as a result of the request for information transfer, ING states that,

"The clause that A.A.A. copies in their complaint is indeed part of our contracting process for both the Salary Account and the NoAccount (non-salary) which has already been explained to the AEPD in other files. In the report attached as Document number 2, in section 4, the two screens within the digital contracting process of the Salary Account (and the NoAccount) are included, in which this clause is presented, in order to locate the moment and context in which this clause is shown to the person wishing to contract this product with ING. In the case of ING, since the contracts are mainly carried out through online means (being an eminently digital bank), this clause has been included in the digital contracting process, requiring the client to press the 'Continue' button as a sign of having read the information regarding said processing and their desire to continue with the process." (the underlining is ours)

FOURTH:

In the document dated February 8, 2023, as a result of the request for information transfer, ING provides a document titled DOC_2_Report.pdf, in which they include screenshots about "the contracting process of the salary account (clause for verification of employment data with the TGSS)," explaining, based on the claimant's assumption, that when an interested party begins the procedures to contract a new account, the responding party requires them to give their express consent for that entity, on their behalf, to request information about their economic activity from the General Treasury of the Social Security, to carry out a verification of the same and thus comply with the provisions of the LPBCFT.

Thus, the literal text of the clause states,

"Furthermore, I confirm that I have been informed by ING BANK NV, Branch in Spain, that the current legislation on the prevention of money laundering obliges banking entities to obtain from their clients information about their economic activity and to carry out a verification of the same. For this exclusive purpose of verifying the information provided, I give my express consent to ING BANK NV, Branch in Spain, to request on my behalf from the General Treasury of the Social Security such information. The data obtained from the General Treasury of the Social Security will be used exclusively for the management indicated above. In the event of non-compliance with this obligation by the Financial Entity and/or the personnel providing services therein, all actions provided for in LO 3/2018, of December 5, on the Protection of Personal Data and Guarantee of Digital Rights will be executed."

(the underlining is ours)

According to the screenshot provided after the cited clause, there is an option to "go back" or "continue" without a specific box to expressly give or not give the required consent.

In this clause, no alternative mechanism is mentioned to verify the information without having to provide the express consent that is required.

Additionally, in the same document, they indicate that,

"Subsequently, before formalizing the contracting of the account and going through the different screens and phases (identification, etc.), the client is again shown the screen with the contract and the clause, which they must read before closing said contracting:"

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They provide a screenshot from the moment prior to closing said contract in which it literally states that,

"By entering the code, you confirm your intention to contract with ING, you confirm that you have consulted the Precontractual Information and the Information Document on Commissions, and that you have read and accept the Privacy Policy and the Service Provision Contract and its Annexes, which will not take effect until you complete your identification. Furthermore, you confirm your consent to identify yourself through recording with your device's camera, which may be retained and reviewed. Lastly, you confirm your consent for us to verify your employment data through the General Treasury of the Social Security." (the underlining is ours)

According to the provided screenshot following the cited clause, there is a single option "continue."

FIFTH:

ING is adhered to the "Agreement between the General Treasury of the Social Security, the Spanish Banking Association, the Spanish Confederation of Savings Banks, and the National Union of Credit Cooperatives regarding the transfer of information," signed on March 18, 2021, and published on April 12, 2021, in the BOE.

Thus, in the document dated February 8, 2023, submitted by the responding party as a result of the request for information transfer, ING states that,

"ING is one of the financial entities currently adhered to the aforementioned Agreement. Attached as Document number 1 is a copy of the cited Agreement."

SIXTH:

The Agreement between the General Treasury of the Social Security, the Spanish Banking Association, the Spanish Confederation of Savings Banks, and the National Union of Credit Cooperatives regarding the Transfer of Information establishes, regarding its object that,

"In this same sense, and with greater specificity regarding the object of this Agreement, Articles 5 and 6 of Law 10/2010, of April 28, on the prevention of money laundering and the financing of terrorism, establish the following:

Article 5. Purpose and nature of the business relationship.

The obligated subjects shall obtain information about the purpose and intended nature of the business relationship. In particular, the obligated subjects shall collect information from their clients in order to understand the nature of their professional or business activity and shall adopt measures aimed at reasonably verifying the truthfulness of such information.

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Such measures shall consist of the establishment and application of verification procedures for the activities declared by the clients. These procedures shall take into account the different level of risk

and shall be based on obtaining from the clients documents related to the declared activity or obtaining information about it from sources other than the client.

Article 6. Continuous monitoring of the business relationship.

The obligated subjects shall apply measures for continuous monitoring of the business relationship, including scrutiny of the operations carried out throughout that relationship in order to ensure that they match the knowledge that the obligated subject has of the client and their business and risk profile, including the source of funds, and to ensure that the documents, data, and information available are up to date.

The previous legal provisions obligate the entities and empower them to the following:

- Adopt measures aimed at reasonably verifying the truthfulness of the activity declared by the clients, being able to obtain information from sources external to the client.
- Ensure that the documents, data, and information available are up to date.
- Establish “verification procedures for the activities declared by the clients.” (the underlining is ours)

Thus, it provides that,

“FIRST.- Object of the Agreement. This Agreement aims to establish the terms and conditions under which the TGSS and the Associations AEB/CECA/UNACC will implement their collaboration for the proper functioning of the SVFI, as well as to define their respective responsibilities.

The transfer of information from the databases of the TGSS to the member Entities of AEB/CECA/UNACC has the exclusive purpose of verifying the truthfulness of the information that the Financial Entities collect from their clients, in order to understand the nature of their professional or business activity and that the clients provide when establishing business relationships.”

The Service for Verification of Source of Income (hereinafter SVFI) is also described, whose fundamental objective is to verify the truthfulness of the information that financial entities collect from their clients, in order to understand the nature of their professional or business activity, and that the clients provide when establishing business relationships.

“FIFTH.- Description of the SVFI

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The SVFI procedure consists of a daily process whereby the Collaborating Financial Entity previously adhered to the Agreement sends via EDITRAN a file with the identification of the individuals, clients with whom they establish a business relationship with the Entity, for whom they request information regarding the nature of the professional or business activity derived from their affiliation with Social Security.

The TGSS processes these files on a daily basis, completing the required information in the same file. The parties will agree within the Monitoring Commission on certain details related to the execution of the content of the agreement (such as the means of issuance, design details, and exchange data) and, in that case, no modification of the agreement will be required but rather a simple agreement between the parties, provided that it does not affect the minimum and essential content of the agreement, which cannot be modified in the Monitoring Commission.

Annex II contains the information exchange and its frequency.

SEVENTH:

The Agreement between the General Treasury of Social Security, the Spanish Banking Association, the Spanish Confederation of Savings Banks, and the National Union of Credit Cooperatives regarding the Transfer of Information, to which ING is adhered, establishes the obligations of the signing entities of the agreement and the collaborating financial entities, stating that,

“FOURTH.- Obligations of AEB, CECA, and UNACC

AEB, CECA, and UNACC commit regarding the Financial Entities associated with them:

(...)

c) To inform them that the requests they make to the TGSS, which in any case will always require the signed authorization of the interested party, will refer exclusively to individuals who initiate business

relationships with the Collaborating Financial Entity or to individuals for whom, after a reasonable time, it is necessary to update their information.

The authorizations signed by the interested party must be kept by the Collaborating Financial Entities and delivered to the TGSS or the Data Protection Agency when required, within ten days from their request.

SIXTH. Responsibility for the functioning of the SVFI

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The Collaborating Financial Entities adhered to this Agreement must adopt the necessary technical and organizational measures to ensure the confidentiality and integrity of the data obtained by the SVFI and to guarantee its proper functioning.

The Collaborating Financial Entities adhered to this Agreement will only be responsible for the telematic exchanges in which they participate and regarding the tasks they perform in accordance with the procedure described in Annex II.

Furthermore, each Collaborating Financial Entity is obliged to guarantee, regarding each request it makes:

a) That the requests refer to individuals who initiate business relationships with the Financial Entity or to individuals for whom, after a reasonable time, it is necessary to update their information.

b) That prior to the request for information by the Collaborating Financial Entity, it has the corresponding express authorization, signed by the interested party, and agreed upon between the parties. (See Annex III).

c) That it commits to safeguarding the authorizations from the clients. Due to control actions or audits carried out by the TGSS as the holder of the transferred data, the Financial Entities are obliged to provide the documentation in their possession within a period not exceeding ten calendar days from their request. This same period will also apply to requests that, if applicable, may be made by the Data Protection Agency.

d) That it complies with all the characteristics indicated in the security document (Annex I).

SEVENTH.- Adherence to the Agreement by the Collaborating Financial Entities

Financial Entities that are interested may participate in the SVFI procedure provided for in this collaboration Agreement, assuming the rights and obligations that correspond to them under the terms and conditions set forth therein, by signing the Act of adherence included in Annex IV of this Agreement.

The signing of the Act of adherence will imply the express acceptance by the Financial Entities of the conditions and terms of this Agreement.

The Financial Entity will send the Act of Adherence and the details of the person responsible for the SVFI procedure in the Financial Entity to the TGSS within five days from the date of adherence. The TGSS will contact the Financial Entity to determine a testing and production implementation plan.” (the underlining is ours)

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EIGHTH:

The Agreement between the General Treasury of the Social Security, the Spanish Banking Association, the Spanish Confederation of Savings Banks, and the National Union of Credit Cooperatives regarding the Transfer of Information, to which ING is adhered, establishes in its ANNEX II and ANNEX III the requirement, as in the text of the agreement, for an express authorization or consent so that the collaborating financial entity can verify whether the individual for whom the due

authorization is available is in a situation of employment registration.

“ANNEX II

Description: Exchange of information between the TGSS and the collaborating Financial Entities, to verify whether the individual for whom the due authorization is available is in a situation of employment registration.

For each record sent by the adhering Financial Entities that are members of AEB/CECA/UNACC, the TGSS will inform, as of the date of the request, about their employment registration status. It may return one or several records depending on the number of employment registration situations of the worker, either as a self-employed worker or as an employee in actual contribution accounts.

Frequency: Daily - Telematic exchange of files.

Both the means or means of submission and the design of the file sent by the collaborating Financial Entities, as well as the response sent by the TGSS, will be determined at each moment by the Joint Coordination and Monitoring Commission regulated in Clause Tenth of this Agreement.

ANNEX III

D., with D.N.I. and address

.....

Has been informed by the financial entity , branch that the current legislation on the prevention of money laundering obliges these banking entities to obtain from their clients information about their economic activity and to carry out a verification of the same.

With this exclusive purpose of verifying the information provided, I give my express consent to

..... (financial entity) so that in my name it may request from the General Treasury of the Social Security such information.

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The data obtained from the General Treasury of the Social Security will be used exclusively for the management indicated above. In the event of non-compliance with this obligation by the financial entity and/or the personnel providing services therein, all actions provided for in Organic Law 3/2018, of December 5, on Personal Data Protection and the guarantee of digital rights will be executed.

In on the of of

Signature of the authorizer.” (the underlining is ours)

NINTH:

Through the privacy policy that could be consulted on the website at the time of the claim, ING informed its clients or potential clients that the legal basis for consulting the Social Security Treasury File to verify the employment information provided by an interested party was compliance with a legal obligation such as the prevention of money laundering and the financing of terrorism.

“3.1 Purposes and legal bases for processing

Line 2 of the table in which it is recorded:

Description of the Purpose: Comply with the regulatory obligations to which ING is subject. As a banking entity, we must comply with applicable regulations, such as those on the prevention of money laundering and the financing of terrorism or tax fraud, among others. We also have the obligation to consult the records and fraud alert systems available and the national and international sanctions lists when you contract with us; or verify your identity, which we can do based on verifications carried out by other financial institutions through Iberpay, consulting your DNI or identity document with the Tax Agency or by other methods to verify your identity remotely, such as, for example, videoselfie.

Legal basis: We will process your data to comply with current regulations.

Categories of data: Identification data, transactions, financial, sociodemographic, location data, sensitive data (data on convictions and infringements). In addition, data related to the knowledge of our clients (KYC) as part of our due diligence. For identification treatments through selfie and videoselfie, biometric data is not processed.

Profile creation: We evaluate certain personal aspects for this purpose.

Categories of recipients (Assignees): The data will be communicated to the General Council of the Judiciary, State Security Forces and Corps, Bank of Spain, National Securities Market Commission, Agency

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Tax and General Treasury of the Social Security, among other public bodies

Line 4 of the table in which it is recorded:

Description of the Purpose: To conduct a solvency assessment when you request risk products. This allows us to ensure that the credit product you request (for example, when applying for credit cards, personal loans, or mortgages) is appropriate according to the requirements set by ING and that you have the necessary payment capacity to meet it.

Legal basis: We will process your data to comply with current regulations, which require assessing the solvency of applicants, such as Law 16/2011, of June 24, on Consumer Credit Contracts or other equivalent regulations regarding the granting of mortgage credit and, in general, regarding responsibility in the granting of loans. Additionally, we will process your data based on our legitimate interest in preventing the risk of insolvency and fraud, while ensuring financial stability for the entity, avoiding economic losses, and complying with our internal regulations. In the event that you are not an ING customer and request a personal loan, we will ask for your consent to carry out the necessary verifications of your information with other banking entities that you authorize us to contact.

Categories of data: Identifying, transactional, and financial data (credit capacity).

We consult public or private solvency files (Asnef File of AsnefEquifax, Information Services on Solvency and Credit, S.L. and Badex File of Experian Credit Bureau, S.A.) to which we are subscribed at any given time. Additionally, we consult the file of the Central Risk Information of the Bank of Spain (CIRBE).

Finally, we consult the file of the Social Security Treasury to verify the employment information you provide us.

Profile creation:

We create profiles, develop models, and valuation or scoring procedures to obtain an indicative score of the likelihood that you can meet the payment obligations incurred.

Categories of recipients (Assignees) No. (the underlining is ours)

TENTH:

The privacy policy that can be consulted on the website currently and whose update date is 31/05/2024 informs its clients or potential clients that to comply with their legal obligation regarding the prevention of money laundering and the financing of terrorism or tax fraud, among others, they may verify with the General Treasury of the Social Security or use other means such as requesting the interested party or their employer for additional documentation. They inform that the legal basis is compliance with a legal obligation and, subsidiarily, the legal basis of legitimate interest.

3. To comply with the regulations

Description of the Purpose: To comply with regulatory obligations, such as those related to:

- The prevention of money laundering and the financing of terrorism or tax fraud, among others. For example, we will request information to verify the origin of the funds in your accounts or verify with the General Treasury of the Social Security your employment, professional, or business activity that you have indicated to us. In this case, we will not request additional information about your work history; we will only verify the information you have provided during the hiring process. We may use other means to fulfill this purpose, such as requesting you to provide additional documentation or requiring it from your employer.

- The preparation of regulatory reports to which we are legally obliged, such as, for example, tax reports imposed by the law on compliance with foreign account tax regulations; currently, the regulation is the Common Reporting Standard regarding the obligation of automatic information

exchange.

- The evaluation of your knowledge and experience in financial markets, financial situation, and investment objectives under MiFID regulations, which also include the recording of any telephone conversation we have with you related to an investment service operation.
- Other obligations imposed by commercial, tax, corporate regulations, and any other type that may be imposed by competent authorities such as the Bank of Spain, European Central Bank, Bank of Spain, National Commission of Markets and Competition, and the National Securities Market Commission, among others.

Legal basis: Compliance with legal obligations. Likewise, for the verification of labor data with the General Treasury of the Social Security as a subsidiary legal basis, our legitimate interest in preventing fraud in the provision of the required documentation.

Categories of data: Identifying, transactional, financial, sociodemographic, locational, and sensitive data (data on convictions and infringements).

Data related to the knowledge of our clients (KYC) as part of our due diligence.

Data verified with the General Treasury of the Social Security or the employer for the verification of your professional or business activity. For identification treatments through videoselfie, biometric data is not processed.

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Profile Creation: With profiling. The creation of profiles in this processing activity is related to compliance with obligations to prevent fraud, money laundering, and the financing of terrorism.

Categories of recipients (Assignees): General Council of the Judiciary, State Security Forces and Corps, Bank of Spain (CIRBE, SEPBLAC), National Securities Market Commission, Tax Agency, among other public bodies.

4. To assess your economic solvency and credit risk.

Description of the purpose. To conduct an evaluation of your solvency when you apply for risk products.

This allows us to ensure that you meet the requirements set by ING and that you have the necessary payment capacity to contract the credit product you are requesting.

We will carry out continuous monitoring of the credit risk of our clients with contracted risk products to detect situations that alert us to the deterioration of their credit capacity early and to be able to adopt mitigating measures.

Legal basis: execution of the contract or pre-contractual measures and compliance with legal obligations, such as Law 16/2011, of June 24, on Consumer Credit Contracts, among others, as well as the legitimate interest in complying with the guidelines on the granting and monitoring of loans from the European banking authority, which recommends continuous monitoring of our clients' risk.

Categories of data: Identifying, transactional, and financial (credit capacity).

When you request to contract a risk product, we consult public or private solvency files to which we are adhered at any given time (Asnef file from Asnef-Equifax, Information Services on Solvency and Credit, S.L. and Badex file from Experian Credit Bureau, S.A.). In addition, we consult the file of the Bank of Spain's risk information center (CIRBE).

Profile Creation: With profiling. The creation of profiles in this processing activity is related to the evaluation of your payment capacity, solvency, and credit risk.

Categories of recipients (Assignees) "There is no data transfer." (the underlining is ours)

LEGAL GROUNDS

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I Competence

In accordance with the powers granted to each supervisory authority by Article 58.2 of the GDPR, and as established in Articles 47, 48.1, 64.2, and 68.1 of the LOPDGDD, the Presidency of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states that: "The procedures processed by the Spanish Agency for Data Protection shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued in its development, and, to the extent that they do not contradict them, subsidiarily by the general rules on administrative procedures."

II Violation of Article 6.1 of the GDPR

According to Article 6 of the GDPR "Lawfulness of processing:

1. Processing shall be lawful only if at least one of the following applies:

- a) the data subject has given consent to the processing of his or her personal data for one or more specific purposes;
- b) processing is necessary for the performance of a contract to which the data subject is party or in order to take steps at the request of the data subject prior to entering into a contract;
- c) processing is necessary for compliance with a legal obligation to which the controller is subject;
- d) processing is necessary in order to protect the vital interests of the data subject or of another natural person;
- e) processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the controller;
- f) processing is necessary for the purposes of the legitimate interests pursued by the controller or by a third party, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject which require protection of personal data, in particular when the data subject is a child. The provisions of point f) of the first paragraph shall not apply to processing carried out by public authorities in the performance of their tasks."

In this case, ING states that the verification of the personal data of the complainant (who has contracted with ING after passing the contracting process and, therefore, "authorizing" ING to verify their personal data with the TGSS), as well as that of the rest of its clients with the TGSS, obtained in compliance with the obligations imposed by LPBCFT, is a consequence of the legal obligation imposed by the

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LPBCFT, which outlines in its Article 2, the obligated subjects in the Prevention of Money Laundering: Financial Entities (banks, savings banks, credit cooperatives, etc.), Insurance Companies, Credit Entities, etc. This legal obligation is the legal basis that, according to ING, supports the authorization included in the contracting process to verify certain data of its clients with the TGSS.

In this regard, concerning the legal obligation imposed on financial entities (not on clients), this same law regulates in its Article 5 that, "the obligated subjects will collect information from their clients in order to understand the nature of their professional or business activity and will adopt measures aimed at reasonably verifying the truthfulness of such information.

Such measures will consist of establishing and applying verification procedures for the activities declared by clients. These procedures will take into account the different level of risk and will be based on obtaining documents from clients related to the declared activity or obtaining information about it from sources other than the client." (the underlining is ours)

Adding in its Article 6 that,

"The obligated subjects will apply continuous monitoring measures to the business relationship, including scrutiny of the operations carried out throughout that relationship in order to ensure that they match the knowledge that the obligated subject has of the client and their business and risk profile, including the source of funds and ensuring that the documents, data, and information available are up

to date.”

For its part, Royal Decree 304/2014, of May 5, which approves the Regulation of Law 10/2010, of April 28, on the prevention of money laundering and the financing of terrorism, which develops the LPBCFT, establishes:

“Article 10. Purpose and nature of the business relationship.

1. The obligated subjects will collect information from their clients in order to understand the nature of their professional or business activity. The activity declared by the client will be recorded by the obligated subject prior to the commencement of the business relationship.
2. The obligated subjects will verify the activities declared by clients in the following cases:
 - a) When the client or the business relationship presents risks higher than average, by regulatory provision or because this is inferred from the risk analysis of the obligated subject.
 - b) When monitoring the business relationship results in the active or passive operations of the client not corresponding with their declared activity or with their operational background.
3. The actions to verify the declared professional or business activity will be graded according to the risk and will be carried out through documentation provided by the client, or through obtaining information from reliable independent sources. Likewise, the obligated subjects may verify the professional or business activity of clients through on-site visits to the offices, warehouses, or premises declared by the client as places where they carry out their commercial activity, documenting in writing the results of such visits.

(...)

Article 11. Continuous monitoring of the business relationship.

1. The obligated subjects will scrutinize the operations carried out throughout the business relationship in order to ensure that they match the professional or business activity of the client and their operational background. The obligated subjects will increase monitoring when they perceive risks higher than average by regulatory provision or because this is inferred from the risk analysis of the obligated subject.

(...)

2. The obligated subjects will periodically carry out review processes to ensure that the documents, data, and information obtained as a result of applying due diligence measures remain updated and valid.

(...)” (the underlining is ours)

In accordance with the aforementioned regulations, the treatment carried out by the banking entity consists of, on one hand, collecting information from clients in the terms specified in the LPBCFT and, on the other hand, adopting measures aimed at reasonably verifying the truthfulness of such information.

Thus, it is true that the sectoral regulations determine the obligation to verify the professional and business activities of the subjects with whom business is to be conducted. However, it does not foresee that this must be done in a specific manner, and it must be the data controller (in this case, ING) who decides such verification procedure, which must comply with the regulations on the protection of personal data.

The Agreement signed with the TGSS regarding the transfer of information, to which ING has adhered, in order to facilitate compliance with the regulations for credit entities.

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Prevention of money laundering, through a mechanized computer procedure that allows for a daily process of data requests by financial entities and transmission of information by the TGSS, could be an adequate mechanism for compliance with their obligations but not necessarily the only one. Thus, as indicated by the previously cited provisions, there is the possibility that the obligated entities may carry out verification actions through documentation provided by the client, or by obtaining information from reliable independent sources. In fact, as stated in proven fact X, this possibility for the client to

provide documentation for this purpose is expressly provided for in the current privacy policy of the entity, unlike the previous one in effect at the time the complaint was filed.

Thus, ING has decided to verify that information through the system established in the Agreement between the General Treasury of the Social Security, the Spanish Banking Association, the Spanish Confederation of Savings Banks, and the National Union of Credit Cooperatives, regarding the transfer of information, to which ING has adhered, being obliged to comply with the provisions of the aforementioned Agreement.

The agreement states in its sixth clause and in Annex III that for the TGSS to allow ING to verify certain data of its clients, the interested party must consent so that the banking entity can verify the personal data with the TGSS, and it is indeed included, the clause by which express consent can be given to verify the information.

The agreement specifies that "...each Collaborating Financial Entity is obliged to guarantee, regarding each request it makes: b) that prior to the request for information by the Collaborating Financial Entity, it has the corresponding express authorization, signed by the interested party, and agreed upon by the parties. (See Annex III)."

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It is therefore not enough, as ING seeks to suggest, that adherence to the agreement allows for the verification of client data with the TGSS, but it is an essential requirement to obtain the prior express and signed consent of the client.

However, while this is the way in which the agreement considers that consent should be requested for the purpose of allowing verification in the TGSS systems, this is not the only avenue for the verification of personal data, in the terms previously cited in the LPCBCFT and its implementing regulation.

The regulations do not establish the obligation to verify personal data information with the TGSS, but rather the information is provided by the client and subsequently, taking into account the different level of risk, there is a general obligation to establish and apply verification procedures for the activities declared by the clients.

Therefore, in order to consult personal data with the TGSS, since the Law does not impose this avenue on banking entities nor imposes this legal obligation on the interested-client, the legal burden of bearing that without their consent the banking entity verifies with the TGSS those personal data provided by the claimant would require obtaining the consent of the interested party, not imposing the use of such a mechanism, and always conditioned to the specific cases in which the regulation requires such verification.

In this regard, Article 4.11 of the GDPR establishes that the "consent of the interested party" is "any manifestation of will that is free, specific, informed, and unequivocal by which the interested party accepts, either by means of a declaration or a clear affirmative action, the processing of personal data concerning them."

Consent is understood as a clear affirmative act that reflects a manifestation of free, specific, informed, and unequivocal will of the interested party to accept the processing of personal data concerning them, provided with sufficient guarantees to demonstrate that the interested party is aware of the fact that they are giving their consent and to what extent they are doing so.

Furthermore, it must be given for all processing activities carried out for the same or the same purposes, so that, when the processing has multiple purposes, consent must be given for all of them in a specific and unequivocal manner. In this respect, the lawfulness of the processing requires that the interested party be informed about the purposes for which the data is intended (informed consent).

Additionally, consent must be given freely. Consent is understood not to be free when the interested party does not have a true or free choice or cannot refuse or withdraw their consent without suffering any detriment, or when the

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Compliance with a contract or provision of service is dependent on consent, even when such consent is not necessary for said compliance. This occurs when consent is included as a non-negotiable part of the general conditions. This has been evidenced in the fourth proven fact, as it becomes impossible to continue with the contracting procedure for the referenced current accounts when it is included as a non-negotiable part of said contracting.

Thus, the clause contained in the contracting process states,

“Furthermore, I confirm that I have been informed by ING BANK NV, Branch in Spain, that the current legislation on the prevention of money laundering requires banking entities to obtain from their clients information about their economic activity and to carry out a verification of the same. For the exclusive purpose of verifying the information provided, I give my express consent to ING BANK NV, Branch in Spain, to request on my behalf this information from the General Treasury of the Social Security. The data obtained from the General Treasury of the Social Security will be used exclusively for the management indicated above. In the event of non-compliance with this obligation by the Financial Entity and/or the personnel providing services therein, all actions provided for in LO 3/2018, of December 5, on the Protection of Personal Data and Guarantee of Digital Rights will be executed.”
(the underlining is ours)

According to the screenshot provided after the aforementioned clause, there is an option to “go back” or “continue” without a specific box to expressly give or not give the required consent.

To continue with the process of contracting the banking product, there is no other option but to click the continue box, and by doing so, consent, yes or yes, that ING verifies certain customer data before the TGSS.

In this clause, moreover, no alternative mechanism is mentioned to verify the information without having to provide the express consent that is required.

Without these conditions, as they occur in the examined case, the consent given by the interested party would not determine control over their personal data and the fate of the same. The verification of certain personal data of its clients by ING before the TGSS would be occurring without valid consent, without a legal basis legitimizing the processing of personal data, and therefore, infringing the GDPR.

On the other hand, the European Data Protection Board in the document “Guidelines 05/2020 on Consent under Regulation 2016/679,” which updates the guidelines on consent adopted by the Article 29 Working Party on 28/11/2017, revised and approved on 10/04/2018, refers to this and indicates that:

“3. In general, consent can only be an adequate legal basis if it offers the interested party control and a real capacity to choose whether to accept or reject the offered conditions without suffering any detriment. When requesting consent, the data controller has the obligation to assess whether such consent will meet all the requirements for obtaining valid consent. If obtained in full compliance with the GDPR, consent is a tool that gives the interested parties control over whether their personal data will be processed or not. If this is not the case, the interested party's control will be merely illusory, and consent will not be a valid legal basis for processing, which will render such processing activity unlawful.” (emphasis added)

These guidelines continue to state:

“13. The term ‘freely’ implies real choice and control by the interested parties. As a general rule, the GDPR establishes that if the subject is not truly free to choose, feels compelled to give consent, or will suffer negative consequences if they do not give it, then consent cannot be considered valid. If consent is included as a non-negotiable part of the general conditions, it is assumed that it has not

been given freely. Consequently, consent will not be considered freely given if the interested party cannot deny or withdraw their consent without detriment.” (emphasis added)

In the present case, consent cannot be considered free because by signing the contract, all customers are required to have their personal data verified through consultation with the TGSS. This is evident from the established facts, as we have pointed out, since to continue with the process of contracting the referenced current accounts, the customer is compelled to consent, with no possible freedom to refuse (as the only possible options are either “go back” or “continue,” the latter implying consent). This occurs because ING has linked the contract for the referenced current accounts to the provision of consent for the customer to authorize them to verify their data with the TGSS.

This absolutely and completely limits the ability of such individuals to decide whether they want ING to carry out such verification of personal data through consultation with the TGSS, as it is not mandatory, as stated. The legal obligation to verify certain data of customers resides with the financial entities and not with the customers.

However, contrary to what the entity has argued in its allegations to the initiation agreement, and as has been substantiated, the legal basis that legitimizes the verification of certain data of its customers with the TGSS is not compliance with a legal obligation (which is not a legal obligation for the customer), but the prior, express, and signed consent of the interested party.

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Consent from the interested party, in the terms of the GDPR, is necessary for a financial entity to verify certain data of its customers with the TGSS. This is clearly and expressly indicated by the very Agreement between the General Treasury of the Social Security, the Spanish Banking Association, and the Spanish Confederation of Savings Banks and the National Union of Credit Cooperatives regarding the transfer of information to which ING is adhered and which we have examined.

Both in clause six and in Annex III of the aforementioned agreement, there is an indistinct reference, and in the same sense, to the requirement of express authorization or express consent from a customer for the TGSS to allow the adhering entities to verify certain personal data of their customers. It should be noted that the term authorize is synonymous, according to the RAE dictionary, with consent.

Moreover, the agreement itself places the Spanish Agency for Data Protection in a prominent position regarding the control of such consents by stating in its clause four that “the authorizations signed by the interested party must be kept by the Collaborating Financial Entities and delivered to the TGSS or the Data Protection Agency, when required, within ten days from the request.”

Contrary to what ING has claimed, this “authorization,” this consent, is the consent of the GDPR, which the agreement itself imposes on the collaborating financial entities, such as ING, to deliver the consents to the AEPD when required; and this is in consideration of the powers granted to the AEPD to fulfill its functions of controlling the application of the GDPR and enforcing it as provided in Article 57 of the GDPR, as it could not be otherwise.

Furthermore, it should be emphasized that the content of the agreement could only require prior, express, and signed consent from the interested party, in accordance with the provisions of the rest of the regulations.

Thus, Article 77 of Royal Legislative Decree 8/2015, of October 30, which approves the consolidated text of the General Social Security Law, determines

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that the data obtained by the Social Security Administration in the exercise of its functions is

confidential, preventing the transfer or communication to third parties:

“The data, reports, or background obtained by the Social Security Administration in the exercise of its functions are confidential and may only be used for the purposes assigned to the various managing entities, common services, and bodies that make up the Social Security Administration, and may not be transferred or communicated to third parties, unless the transfer or communication is intended for: (...)”

Thus, the provision enumerates a set of specific cases in which the transfer or communication of data to third parties is permitted, among which the case examined in the present sanctioning procedure is not included.

In this regard, the SAN of September 15, 2023, rec. 1443/2020, confirms the confidential nature of the data processed by the TGSS concerning a natural person and that “only allows the processing of the aforementioned personal data when either there is consent from its owner or another lawful basis or legitimacy for such processing, in accordance with the provisions of Articles 5 and 6 of the GDPR and Articles 4 to 8 of the LOPDGDD.”

To this, we must add what is provided in the tenth additional provision of the LOPDGDD, which, regarding the communication of data by the subjects listed in Article 77.1 of the LOPDGDD (among which is the TGSS), states that, “The controllers listed in Article 77.1 of this organic law may communicate the personal data requested by private law subjects when they have the consent of the affected parties or consider that there is a legitimate interest on the part of the applicants that prevails over the rights and interests of the affected parties in accordance with the provisions of Article 6.1 f) of Regulation (EU) 2016/679.” (the underlining is ours)

On the other hand, in the new wording given to its current privacy policy, to which ING refers and has added after the initiation of this sanctioning procedure, in addition to compliance with legal obligations as a legal basis applicable to the processing, regarding the verification of employment data with the General Treasury of Social Security, the subsidiary legal basis would be the legitimate interest in preventing fraud in the submission of the required documentation.

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The opinion 06/2014 of the Article 29 Working Party establishes the 3 requirements that must be met for legitimate interest to apply: the interest must be lawful, clearly delineated and defined, and lastly, it must not be speculative. Consequently, a balancing exercise must be carried out to determine whether legitimate interest is applicable or not. This legitimate interest would allow for processing without obtaining consent to satisfy a legitimate need of the data controller, provided that it is verified that satisfying this legitimate interest does not significantly affect the rights and freedoms of the data subject. In this case, the fundamental right of customers to control their data would be affected. Furthermore, the CJEU ruling of October 4, 2024, in case C-621/22, reminds us that, “(37) ...Article 6(1), first paragraph, letter f), of the GDPR establishes three cumulative requirements for the processing of personal data to be lawful, namely, first, that the data controller or a third party pursues a legitimate interest; second, that the processing of personal data is necessary for the satisfaction of that legitimate interest; and third, that the interests or the fundamental rights and freedoms of the data subject in the protection of personal data do not prevail over the legitimate interest of the data controller or a third party [judgment of July 4, 2023, Meta Platforms and others (General terms of service of a social network), C-252/21, EU:C:2023:537, paragraph 106 and cited case law].”

41 Additionally, it should be noted that, in accordance with Article 13(1)(d) of the GDPR, it is the responsibility of the data controller, at the time when personal data relating to the data subject is obtained, to inform them of the legitimate interests pursued when that processing is based on Article 6(1), first paragraph, letter f), of that Regulation [judgment of July 4, 2023, Meta Platforms and others (General terms of service of a social network), C-252/21, EU:C:2023:537, paragraph 107].

42 As for the second requirement regarding the necessity of processing personal data for the satisfaction of the pursued legitimate interest, it requires the referring court to verify that the legitimate

interest pursued with the processing of the data cannot reasonably be achieved as effectively by other means that are less intrusive to the freedoms and fundamental rights of the data subjects, particularly the rights to respect for private life and to the protection of personal data, guaranteed by Articles 7 and 8 of the Charter [judgment of December 7, 2023, SCHUFA Holding (Exemption from unsatisfied liabilities), C-26/22 and C-64/22, EU:C:2023:958, paragraph 77 and cited case law].

44 Finally, regarding the third requirement that the interests or the freedoms and fundamental rights of the data subject in the protection of personal data do not prevail over the legitimate interest of the data controller or a third party, the Court of Justice has already stated that this requirement implies the balancing of conflicting rights and interests, which...

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will depend, in principle, on the specific circumstances of the particular case and, consequently, it is up to the referring judicial body to carry out that assessment taking into account these particular circumstances [judgment of July 4, 2023, Meta Platforms and others (General terms of service of a social network), C-252/21, EU:C:2023:537, paragraph 110 and cited case law].

45 Furthermore, as stated in recital 47 of the GDPR, the interests and fundamental rights of the data subject may, in particular, prevail over the interests of the data controller when personal data is processed in circumstances where the data subject does not reasonably expect such processing to occur [judgment of July 4, 2023, Meta Platforms and others (General terms of service of a social network), C-252/21, EU:C:2023:537, paragraph 112].” (the underlining is ours)

And as stated in Guidelines 5/2020 on consent in accordance with Regulation (EU) 2016/679:

“123. The controller cannot move from consent to other legal bases. For example, it is not permitted to retrospectively use the legitimate interest basis to justify processing when faced with issues regarding the validity of consent.”

Therefore, in accordance with the evidence available at this time of the proposed resolution of the sanctioning procedure, it is considered that the known facts constitute a violation of the procedure established to verify certain customer data before the TGSS, attributable to the responding party, for violation of Article 6.1 of the GDPR.

III Response to the allegations regarding the initiation agreement

In response to the allegations presented by the responding entity, the following should be noted:

Regarding the processing of data

The responding party claims that once the client or potential client has provided the identifying personal data, they are required, as stated in Proven Fact I, to provide a series of basic economic data related to their professional performance. Specifically, they must provide their employment status, professional activity, labor sector, company, monthly income, purpose of the main relationship, and finally, the source of their funds.

Of all the data obtained directly from the data subject, the only ones that are subjected to subsequent verification are the 'employment status' and 'payer' data, the latter only if applicable. ING does not verify or consult the client's work history or any additional data that the TGSS may have.

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ING refers here to the fact that the personal data obtained are identifying and economic data that do not constitute sensitive or specially protected data, in the sense of Article 9 of the GDPR.

However, although the economic data referred to by the investigated entity are not of a sensitive nature, this does not mean that they lack significance, at an individual or social level, in people's lives, nor that their knowledge without legitimization by a third party cannot be intrusive or harmful to the

rights and freedoms of these individuals. This is further evidenced by the confidential nature of the data obtained by the Social Security Administration in the exercise of its functions, preventing the transfer or communication to third parties, except in exceptional cases.

What the Agreement establishes in its First Clause is the transfer of information from the TGSS databases to the member Entities of AEB/CECA/UNACC for the exclusive purpose of verifying the veracity of the information that Financial Entities collect from their clients, in order to understand the nature of their professional or business activity that clients provide when establishing business relationships.

On the other hand, the object of the debate is not whether the data processed by ING are sensitive or whether it verifies the client's work history or any additional data before the TGSS, but rather the fact that a prior and mandatory consent from the data subject is required.

The Agreement itself in its Fourth Clause "Obligations of AEB, CECA, and UNACC regarding the Financial Entities associated with them" establishes in its subsection b):

"Inform them that the use of the obtained data is exclusively for the purposes provided for in this Agreement."

And in its subsection c):

"Inform them that the requests made to the TGSS will, in any case, always require the signed authorization of the data subject, and will refer exclusively to individuals who initiate business relationships with the Collaborating Financial Entity or to individuals whose information needs to be updated after a reasonable period of time. The signed authorizations by the data subject must be kept by the Collaborating Financial Entities and delivered to the TGSS or the Data Protection Agency, when required, within ten days from their request." (the underlining is ours)

Furthermore, the Agreement in its sixth clause states that "each Collaborating Financial Entity is obliged to guarantee, regarding each request it makes:

"a) That the requests refer to individuals who initiate business relationships with the Financial Entity or to individuals whose information needs to be updated after a reasonable period of time."

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b) That prior to the request for information by the Collaborating Financial Entity, it has the corresponding express authorization, signed by the interested party, and agreed upon by the parties. (See Annex III). (the underlining is ours)

(.../...)

That is to say, the Agreement, to which INGG has adhered, makes it clear to the AEB, to which ING belongs, that it must inform its Financial Entities that requests made to the TGSS will always require the signed authorization of the interested party. On the other hand, each financial entity needs the corresponding signed authorization from the interested party prior to the request for information from the TGSS, also referring to the indication "see Annex III," regarding the need for such consent and how it should be provided.

Without the signed authorization from the clients, the TGSS should not proceed with the requested verification.

The TGSS itself makes this clear to citizens on its website

(<https://revista.seg-social.es/-/la-seguridad-social-respeta-tus-datos>), stating that "The European Data Protection Regulation unifies and modernizes European regulations on data protection, and allows citizens better control over their personal data. Among other things, the citizen must give their express consent for the handling of that data and, of course, for its transfer to third parties."

Regarding the need to verify the data and information provided by clients to the TGSS:

ING states that the obligation entrusted to banking entities to verify the information provided by clients or potential clients, in relation to their work activities, is materialized with the signing of the agreement that allows them to verify the truthfulness of the information collected, based on the transfer of information from the TGSS databases.

In this sense, it is the agreement itself that stipulates that the obligated subjects will adopt measures aimed at reasonably verifying the truthfulness of the professional or business information provided by clients, but taking into account the different level of risk and will be based on obtaining documents from clients related to the declared activity or obtaining information about it that is external to the client themselves.

Given that R.D. 304/2014, of May 5, which approves the Regulation of Law 10/2010, of April 28, establishes that,

"the obligated subjects will verify the activities declared by clients in the following cases:

- a) When the client or the business relationship presents risks above the average, by regulatory provision or because this is inferred from the risk analysis of the obligated subject.
- b) When the monitoring of the business relationship shows that the client's active or passive operations do not correspond to their declared activity or their operational background."

Thus, there is no obligation to verify the declared activities of clients on all occasions, but it must be carried out according to the possible level of risk. In the case at hand, the claiming party proceeded to contract a No Account. Consulting ING's website, in its No Account section, "Risk indicator corresponding to No Account and ORANGE Account":

1/6: This number indicates the risk of the product, with 1/6 indicating lower risk and 6/6 indicating higher risk.

Regarding the legality of the data processing carried out by ING

According to ING, contrary to what is indicated by the AEPD, the Agreement between the General Treasury of Social Security does not stipulate the need for clients of financial entities to provide consent in the sense of Article 6.1 a) of the GDPR, to carry out the aforementioned verification, but refers to a mere authorization and equates this consent to that of Article 1262 of the Civil Code, which includes the provision of consent necessary to formalize a contract: "Consent is manifested by the concurrence of the offer and acceptance regarding the object and cause that will constitute the contract. If the offeror and the acceptor are in different places, there is consent from the moment the offeror knows of the acceptance or from the moment, having been sent by the acceptor, it cannot be ignored without breaching good faith. The contract, in such a case, is presumed to be concluded in the place where the offer was made. In contracts concluded through automatic devices, consent exists from the moment acceptance is manifested."

According to the analysis carried out by ING, consent does not constitute an adequate legitimization for the processing of data consisting of the verification of the economic data provided by clients to the extent that it is required by the PBC Regulations.

Well, in addition to referring to what was stated in the previous legal basis, it should be indicated at this moment that Article 6.1(c) of the GDPR determines that,

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"6.1. The processing shall only be lawful if at least one of the following conditions is met: (...) c) the processing is necessary for compliance with a legal obligation to which the data controller is subject."

This must be supplemented by the provisions of Article 8 of the LOPDGDD,

"1. The processing of personal data may only be considered based on compliance with a legal obligation enforceable against the controller, in the terms provided in Article 6.1.c) of Regulation (EU) 2016/679, when such is provided for by a norm of European Union law or a norm with the rank of law, which may determine the general conditions of processing and the types of data subject to it as well as the transfers that may occur as a consequence of compliance with the legal obligation. Such a norm may also impose special conditions on the processing, such as the adoption of additional security measures or others established in Chapter IV of Regulation (EU) 2016/679."

Well, this is not the legal basis, as previously indicated, that legitimizes ING to carry out the data processing consisting of the verification of its clients' data before the TGSS, since neither the LPBCFT nor Royal Legislative Decree 8/2015, of October 30, which approves the consolidated text of the

General Social Security Law, expressly impose at any time on the interested party, the client of the banking entity, the legal burden of bearing and allowing the transfer of personal data that is being processed by the TGSS, nor that the TGSS is obliged to transfer such data to financial entities. However, and despite ING grounding the legitimacy of the processing on Article 6.1 c) and asserting that the Agreement with the General Treasury of Social Security does not stipulate the need for consent from the clients of financial entities in the sense of Article 6.1 a) of the GDPR, to carry out the aforementioned verification, it is the Agreement itself that establishes that its purpose is to facilitate credit institutions in complying with the regulations on the prevention of money laundering by verifying the veracity of the information that financial entities collect from their clients, in order to know the nature of the professional or business activity and that the clients provide when establishing business relationships. And among the obligations established in this agreement in its fourth clause "Obligations of the AEB, CECA, and UNACC" is:

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"c) Inform them that requests made to the TGSS will, in any case, always require the signed authorization of the interested party, and will refer exclusively to individuals who initiate business relationships with the Collaborating Financial Entity or to individuals whose information needs to be updated after a reasonable period of time."

(underlining is ours)

It should be noted that financial entities interested in adhering to the Agreement assume the rights and obligations contained therein, as well as being affected by the responsibility that comes with being a party to it.

Thus, in its sixth clause and referring to the responsibility for the operation of the verification system regarding the nature of the professional or business activity that derives from their affiliation with Social Security, it establishes:

"b) That prior to the request for information by the Collaborating Financial Entity, it has the corresponding express authorization, signed by the interested party, and agreed upon by the parties. (See Annex III)."

(underlining is ours)

Let us remember that the content of Annex III leaves no doubt that the TGSS, for the purpose determined in the agreement, requires prior, express, and signed consent for the financial entity, in this case, ING, to request such information on behalf of the interested party.

ANNEX III

D.

.....,
with D.N.I.

.....
and address

.....
Has been informed by the financial entity,

branch that the current legislation on the prevention of money laundering obliges these banking entities to obtain from their clients the information regarding their economic activity and to carry out a verification of the same.

With this exclusive purpose of verifying the information provided, I give my express consent to (financial entity) so that in my name it may request from the General Treasury of Social Security such information.

The data obtained from the General Treasury of Social Security will be used exclusively for the management indicated above. In the event of non-compliance with this obligation by the financial entity and/or the

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personal providing services therein, all actions provided for in Organic Law 3/2018, of December 5, on the Protection of Personal Data and the guarantee of digital rights will be executed.

In on the of of

Signature of the authorizing party

In conclusion, the authorization required corresponds to the consent that the interested party grants for the processing of the information that, on their behalf, the financial entity requests from the General Treasury of the Social Security and that will be used exclusively for that management, consent understood in the terms of the GDPR, so that in the event of non-compliance with the management, all actions provided for in the GDPR and in the LOPDGDD will be executed.

Without the express consent of the interested party, whose authorization refers to the enabling for the verification of the data provided before the TGSS, the TGSS must not allow the banking entity to verify the client's data.

Thus, the basis that legitimizes the processing is the consent outlined in Article 6.1 a) of the GDPR:

“a) the data subject has given consent to the processing of their personal data for one or more specific purposes;”

On the other hand, in the complaint submitted by the claimant, a fragment of the clause for which ING requested confirmation to continue with the account contracting process was provided, and ING acknowledges that it is a clause included in the contracting processes of its products, the “payroll account” and the “no account,” and for all its clients, it is stipulated that,

"I confirm that I have been informed by ING BANK N.V., Branch in Spain, that the current legislation on the prevention of money laundering obliges banking entities to obtain from their clients information about their economic activity and to carry out a verification of it. For the exclusive purpose of verifying the information provided, I give my express consent to ING BANK N.V., Branch in Spain to request such information from the General Treasury of the Social Security on my behalf. The data obtained from the General Treasury of the Social Security will be used exclusively for the management indicated above. In the event of non-compliance with this obligation by the financial entity and/or the personnel providing services therein, all actions provided for in Organic Law 3/2018, of December 5, on the Protection of Personal Data and the Guarantee of Digital Rights will be executed." (the underlining is ours)

In this clause, it is clearly stated that express consent is requested to be able to request information from the TGSS, which only reinforces the legal basis for the processing as the consent of the interested party.

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Regarding the absence of harm to the interested parties

The claiming party states in its claim that it considers its fundamental rights to be violated by having to give consent for ING to request information on its behalf from the TGSS.

The responding party asserts that the data inquiry to the TGSS conducted by ING is merely a verification that checks the accuracy and truthfulness of the information provided by the clients, with the aim of complying with the PBC Regulations, and therefore would not constitute an additional inquiry for information nor generate any harm to the interested parties, also being in accordance with data protection regulations.

Well, in accordance with various jurisprudence from the Constitutional Court, the power of disposition and control over personal data concerning a natural person is an inseparable part of the fundamental right to data protection, resulting in the mere illegitimate limitation of that power of disposition and

control constituting an infringement of the fundamental right.

On one hand, the Judgment of the Constitutional Court 292/2000, of November 30, 2000, states that, "From all that has been said, it follows that the content of the fundamental right to data protection consists of a power of disposition and control over personal data that empowers the individual to decide which of those data to provide to a third party, whether the State or a private individual, or which this third party may collect, and that also allows the individual to know who possesses that personal data and for what purpose, being able to oppose that possession or use. These powers of disposition and control over personal data, which are part of the content of the fundamental right to data protection, are legally specified in the authority to consent to the collection, obtaining, and access to personal data, its subsequent storage and processing, as well as its possible use or uses, by a third party, whether the State or a private individual. And that right to consent to the knowledge and processing, whether computerized or not, of personal data requires as indispensable complements, on one hand, the authority to know at all times who has that personal data and what use they are subjecting it to, and, on the other hand, the power to oppose that possession and uses." (the underlining is ours)

Likewise, the Judgment of the Constitutional Court 254/1993, of July 20, 1993, states that, "the right to data protection grants its holder a bundle of powers consisting of various legal powers whose exercise imposes legal duties on third parties, which are not contained in the fundamental right to privacy, and which serve the essential function that this fundamental right performs: to guarantee the individual a power of control over their personal data, which is only possible and effective by imposing on third parties the aforementioned duties to act. Namely: the right to require prior..."

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consent for the collection and use of personal data, the right to know and be informed about the destination and use of that data, and the right to access, rectify, and cancel such data. Ultimately, the power of disposition over personal data." (the underlining is ours).

The harm to the data subjects, the injury to the legal good, occurs by not respecting the power of disposition and control of the data subject regarding the personal data that concerns them. When it is necessary for them to consent for personal data processing to take place and they are deprived of that possibility, as in the examined case, their will is being overridden, and their fundamental right is being violated.

Furthermore, it should be noted that the damages caused by the violation of the fundamental right encompass not only material damages but also immaterial damages (recognized not only in recital 75 of the GDPR but also by the AN in its rulings).

Regarding the lack of proportionality of the proposed sanction

According to the responding party, the sanction included in the Initiation Agreement is, in any case, disproportionate, considering the alleged infringement, and they do not agree with the circumstances classified as aggravating.

In relation to the nature, severity, and duration of the infringement, ING argues that there is only one data subject involved, who is also the person who filed the complaint. However, the facts revealed affect all customers and potential customers who contract either the "payroll account" or the "No account," as has been proven, since, as ING has acknowledged, it is a contracting system for all its customers that includes the aforementioned clause.

Regarding the intent or negligence in the infringement, according to the responding party, there is no aggravating factor of intent in the conduct since it is determined by compliance with its obligations in terms of fraud prevention and AML. Here, however, what is required is consent in an adhesion clause without a real possibility of consenting, being fully aware of the requirements of the agreement signed with the TGSS.

IV Classification of the infringement

The infringement attributed to ING is classified under Article 83.5 a) of the GDPR, which considers that the infringement of “the basic principles for processing, including the conditions for consent under Articles 5, 6, 7, and 9” is sanctionable, according to paragraph 5 of the aforementioned Article 83 of the cited Regulation, “with administrative fines of up to €20,000,000 or, in the case of a company, an amount equivalent to a maximum of 4% of the total annual global turnover of the previous financial year, opting for the higher amount.”

The LOPDGDD in its Article 71, Infringements, states that: “Acts and behaviors referred to in paragraphs 4, 5, and 6 of Article 83 of Regulation (EU) 2016/679, as well as those contrary to this organic law, constitute infringements.”

And in its Article 72, it considers for the purposes of prescription that: “Very serious infringements:

1. Based on what is established in Article 83.5 of Regulation (EU) 2016/679, the following are considered very serious and will prescribe in three years:

(...)

b) The processing of personal data without any of the conditions for lawful processing established in Article 6 of Regulation (EU) 2016/679 being met.

(...).

V Proposal for sanction

In order to establish the administrative fine that should be imposed, the provisions contained in Articles 83.1 and 83.2 of the GDPR must be observed, which state:

“1. Each supervisory authority shall ensure that the imposition of administrative fines under this article for the infringements of this Regulation indicated in paragraphs 4, 5, and 6 is effective, proportionate, and dissuasive in each individual case.

2. Administrative fines shall be imposed, depending on the circumstances of each individual case, as an additional or substitute measure for the measures provided for in Article 58, paragraph 2, letters a) to h) and j).

When deciding on the imposition of an administrative fine and its amount in each individual case, the following shall be duly taken into account:

a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing operation in question, as well as the number of data subjects affected and the level of damages and harm they have suffered;

b) the intent or negligence in the infringement;

c) any measures taken by the controller or processor to mitigate the damages and harm suffered by the data subjects;

d) the degree of responsibility of the controller or processor, taking into account the technical or organizational measures they have implemented under Articles 25 and 32;

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c) any previous infringement committed by the controller or the processor;

f) the degree of cooperation with the supervisory authority in order to remedy the infringement and mitigate the possible adverse effects of the infringement;

g) the categories of personal data affected by the infringement;

h) the manner in which the supervisory authority became aware of the infringement, in particular whether the controller or the processor notified the infringement and, if so, to what extent;

i) when the measures indicated in Article 58(2) have been previously ordered against the controller or the processor in relation to the same matter, compliance with those measures;

j) adherence to codes of conduct under Article 40 or to certification mechanisms approved under Article 42; and

k) any other aggravating or mitigating factor applicable to the circumstances of the case, such as the financial benefits obtained or the losses avoided, directly or indirectly, through the infringement.”

In relation to letter k) of Article 83.2 of the GDPR, the LOPDGDD, in its Article 76, "Sanctions and corrective measures," establishes that:

"2. In accordance with the provisions of Article 83.2.k) of Regulation (EU) 2016/679, the following may also be taken into account:

- a) The ongoing nature of the infringement.
- b) The connection of the infringer's activity with the processing of personal data.
- c) The benefits obtained as a result of the commission of the infringement.
- d) The possibility that the conduct of the affected party may have induced the commission of the infringement.
- e) The existence of a merger by absorption after the commission of the infringement, which cannot be attributed to the absorbing entity.
- f) The impact on the rights of minors.
- g) Having, when not mandatory, a data protection officer.
- h) The voluntary submission by the controller or processor to alternative dispute resolution mechanisms, in cases where there are disputes between them and any interested party."

According to the transcribed provisions, for the purpose of determining the amount of the fine to be imposed in this case for the infringement classified in Article 83.5 of the GDPR for which the respondent is responsible, the following circumstances are deemed concurrent:

- The nature, gravity, and duration of the infringement (Article 83.2.a) of the GDPR), taking into account the nature, scope, or purpose of the processing operation in question; given that the facts revealed affect all customers who contract either the "payroll account" or the "no account," as stated in the proven facts, since the way of obtaining consent by ING in violation of the GDPR is required from all customers who go through the contracting system.
- The intentionality or negligence in the infringement (Article 83.2.b) of the GDPR). ING adhered to the agreement with the TGSS, an agreement that imposes a series of obligations on the financial entity, expressly stating in its sixth clause "that prior to the request for information by the Collaborating Financial Entity, it has the corresponding express authorization, signed by the interested party, and agreed between the parties"; likewise, in Annex III of the aforementioned agreement, it is stated that "for this exclusive purpose of verifying the information provided, I give my express consent to (financial entity) to request said information from the General Treasury of the Social Security on my behalf," which must also be signed by the client.

However, they have required consent in an adhesion clause without a real possibility of consenting, being fully aware of the requirements of the agreement signed with the TGSS.

In this regard, the SAN of October 17, 2007 (rec. 63/2006) is very illustrative, which indicates that "...the Supreme Court has understood that there is negligence whenever a legal duty of care is disregarded, that is, when the infringer does not behave with the required diligence. And in assessing the degree of diligence, special consideration must be given to the professionalism or lack thereof of the subject, and there is no doubt that, in the case now examined, when the activity of the appellant involves constant and abundant handling of personal data, it must be insisted on the rigor and exquisite care to comply with the legal provisions in this regard."

The activity of the allegedly infringing entity is linked to the processing of data from both clients and third parties. In the activity of the respondent entity, the processing of personal data of its clients is essential, so given the volume of it, the significance of this activity subject to the present claim is very high (Article 76.2.b) of the LOPDGDD in relation to Article 83.2.k).

Considering the factors presented, for the purpose of deciding on the imposition of an administrative fine and its amount, in accordance with the evidence available at this moment in the proposed resolution of the procedure, taking into account the circumstances of the case and the criteria established in Article 83.2 of the GDPR regarding the infringement committed, it is determined that a fine of TWO MILLION EUROS (€2,000,000) is appropriate.

VI Adoption of measures

If the infringement is confirmed, it could be agreed to impose on the controller the adoption of appropriate measures to adjust its actions to the regulations mentioned in this document.

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act, in accordance with the provisions established in the aforementioned article 58.2 d) of the GDPR, according to which each supervisory authority may "order the controller or processor to ensure that the processing operations comply with the provisions of this Regulation, where appropriate, in a specific manner and within a specified period...". The imposition of this measure is compatible with the sanction consisting of an administrative fine, as provided for in article 83.2 of the GDPR.

However, in this case, regardless of the above, in accordance with the evidence available at this moment in the sanctioning procedure, the resolution adopted may require the respondent to take the following measures within a period of six months from the date of effectiveness of the resolution concluding this procedure:

- Adequately inform and obtain the consent, in terms of the GDPR, from the entity's clients regarding the verification of personal data before the TGSS in the terms of the LPBCFT.

It is warned that failure to comply with the possible order to adopt measures imposed by this agency in the sanctioning resolution may be considered an administrative infringement in accordance with the provisions of the GDPR, classified as an infringement in articles 83.5 and 83.6, and such conduct may lead to the initiation of further administrative sanctioning procedures.

Furthermore, it is reminded that neither the acknowledgment of the infringement committed nor, where applicable, the voluntary payment of the proposed amounts, exempts the obligation to adopt the necessary measures to cease the conduct or correct the effects of the infringement committed and to demonstrate to this AEPD compliance with that obligation.

In light of the above, the following

PROPOSAL FOR RESOLUTION

is issued:

That the Presidency of the Spanish Agency for Data Protection sanctions ING BANK N.V., BRANCH IN SPAIN, with NIF W0037986G, for an infringement of article 6.1 of the GDPR, classified in article 83.5 of the GDPR, with a fine of €2,000,000.00 (*two million* euros).

That the Presidency of the Spanish Agency for Data Protection orders ING BANK N.V., BRANCH IN SPAIN, with NIF W0037986G, that pursuant to article 58.2.d) of the GDPR, within a period of 6 months, demonstrate having complied with the duty to adequately inform and obtain the consent, in terms of the GDPR, from the entity's clients regarding the verification of personal data before the TGSS in the terms of the LPBCFT.

Furthermore, in accordance with the provisions of article 85.2 of the LPACAP, it is informed that it may, at any time prior to the resolution of this procedure, make a voluntary payment of the proposed sanction, which will entail a reduction of 20% of the amount thereof. With the application of this reduction, the sanction would be set at €1,600,000.00 and its payment will imply the termination of the procedure, without prejudice to the imposition of the corresponding measures. The effectiveness of this reduction will be conditioned upon the withdrawal or renunciation of any action or appeal in the administrative route against the sanction.

In the event that it opts to proceed with the voluntary payment of the amount specified above, in accordance with the provisions of the aforementioned article 85.2, it must be made effective by depositing it into the restricted account No. IBAN: ES00-0000-0000-0000-0000-0000 (BIC/SWIFT Code: CAIXESBBXXX) opened in the name of the Spanish Agency for Data Protection at the banking entity CAIXABANK, S.A., indicating in the concept the reference number of the procedure that appears in the heading of this document and the reason, for voluntary payment, for the reduction of the amount of the sanction. Furthermore, it must send the proof of payment to the General Subdirectorate of Inspection to proceed to close the file.

In accordance with the provisions of article 76.4 of the LOPDGDD and given that the amount of the

imposed sanction is greater than one million euros, the information identifying the infringer, the infringement committed, and the amount of the sanction will be published in the Official State Gazette. Therefore, you are notified of the above, and you are informed of the procedure so that within TEN DAYS you may state whatever you consider in your defense and present the documents and information you deem pertinent, in accordance with article 89.2 of the LPACAP.

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ANNEX

(...)

>>

SECOND: On March 7, 2025, ING proceeded to pay the fine in the amount of 1,600,000.00 euros, making use of the reduction provided for in the resolution proposal transcribed above.

THIRD: ING has expressly waived any action or appeal in the administrative route against the fine.

FOURTH: In the resolution proposal transcribed above, the facts constituting the infringement were established, and it was proposed that the Presidency impose on the responsible party the adoption of appropriate measures to adjust their actions to the regulations, in accordance with the provisions of the aforementioned Article 58.2 d) of the GDPR, according to which each supervisory authority may "order the controller or processor to ensure that the processing operations comply with the provisions of this Regulation, where appropriate, in a specific manner and within a specified period...".

LEGAL GROUNDS

I

Competence

In accordance with the powers granted to each supervisory authority by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and guarantee of digital rights (hereinafter, LOPDGDD), the Presidency of the Spanish Agency for Data Protection is competent to resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states: "The procedures processed by the Spanish Agency for Data Protection shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued in its development and, as long as they do not contradict them, subsidiarily by the general rules on administrative procedures."

II

Termination of the procedure

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Article 85 of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter LPACAP), under the heading "Termination in sanctioning procedures" provides as follows:

"1. Once a sanctioning procedure has been initiated, if the offender acknowledges their responsibility, the procedure may be resolved with the imposition of the appropriate sanction.

2. When the sanction is solely of a pecuniary nature or when it is possible to impose a pecuniary sanction and another of a non-pecuniary nature but the imposition of the latter has been justified as

inappropriate, voluntary payment by the presumed responsible party, at any time prior to the resolution, will imply the termination of the procedure, except regarding the restoration of the altered situation or the determination of compensation for damages caused by the commission of the infringement.

3. In both cases, when the sanction is solely of a pecuniary nature, the competent authority to resolve the procedure shall apply reductions of at least 20% on the amount of the proposed sanction, which shall be cumulative. The aforementioned reductions must be determined in the notification of initiation of the procedure, and their effectiveness shall be conditioned upon the withdrawal or waiver of any action or appeal in the administrative route against the sanction. The percentage of reduction provided in this section may be increased by regulation.”

III

Voluntary payment

In accordance with the provisions of the aforementioned Article 85 of the LPACAP, the notified resolution proposal allowed for the voluntary payment of the proposed sanction, which would entail a 20% reduction of its amount. With the application of this reduction, the sanction would be established at 1,600,000.00 euros, and its payment will imply the termination of the procedure, without prejudice to the imposition of the corresponding measures.

Following the aforementioned resolution proposal, and before a resolution was issued by this authority, ING, on March 7, 2025, proceeded to make the voluntary payment, availing itself of the 20% reduction and waiving any action or appeal in the administrative route.

It should be noted that, in accordance with the provisions of the LPACAP, as well as the jurisprudence of the Supreme Court in this matter, the exercise of voluntary payment by the presumed responsible party does not exempt the administration from the obligation to resolve and notify all procedures, regardless of their form of initiation. Likewise, Article 88 of the aforementioned regulation establishes that the resolution that concludes the procedure will decide all issues raised by the interested parties and any others arising from it.

Therefore, in accordance with the applicable legislation and considering the criteria for the graduation of the sanctions whose existence has been established, the Presidency of the Spanish Agency for Data Protection RESOLVES:

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FIRST: DECLARE the commission of the infringements and CONFIRM the sanctions determined in the dispositive part of the resolution proposal transcribed in this resolution. The sum of the aforementioned amounts results in a total of 2,000,000.00 euros.

After ING BANK N.V., BRANCH IN SPAIN proceeded with the prompt payment, although without acknowledgment of responsibility, a reduction of 20% of the mentioned total is applied, in accordance with Article 85 of the LPCAP, which results in the definitive amount of 1,600,000.00 euros.

SECOND: DECLARE the termination of procedure EXP202213634, in accordance with the provisions of Article 85 of the LPACAP.

THIRD: ORDER ING BANK N.V., BRANCH IN SPAIN to notify the Agency within 6 months from the date this resolution becomes firm and enforceable, of the adoption of the measures described in the legal grounds of the resolution proposal transcribed in this resolution.

FOURTH: NOTIFY this resolution to ING BANK N.V., BRANCH IN SPAIN.

FIFTH: In accordance with the provisions of Article 85 of the LPACAP, which conditions the reduction for voluntary payment on the withdrawal or renunciation of any action or administrative appeal by this authority, the express renunciation stated by ING BANK N.V., BRANCH IN SPAIN is accepted, thus precluding the filing of an optional appeal for reconsideration against this resolution, all without prejudice to the possibility of resorting to the contentious-administrative jurisdiction.

Consequently, taking into account the provisions of Article 90 of the LPACAP, since no administrative

appeal is available due to the express renunciation, this resolution will be firm and fully enforceable from the date of its notification.

However, in accordance with the provisions of Article 90.3 a) of the LPACAP, the firm resolution in the administrative route may be provisionally suspended if the interested party expresses their intention to file a contentious-administrative appeal. If this is the case, the interested party must formally communicate this fact by means of a written document addressed to the Spanish Agency for Data Protection, submitting it through the Agency's Electronic Registry [<https://sedeagpd.gob.es/sede-electronica-web/>], or through any of the other registries provided for in Article 16.4 of the aforementioned Law 39/2015, of October 1. They must also provide the Agency with documentation that proves the effective filing of the contentious-administrative appeal. If the Agency does not become aware of the filing of the contentious-administrative appeal within two months from the day following the notification of this resolution, it will consider the provisional suspension terminated.

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In accordance with the provisions of Article 76.4 of the LOPDGDD and given that the amount of the imposed sanction exceeds one million euros, the information identifying the offender, the infringement committed, and the amount of the sanction will be published in the Official State Gazette.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

1331-100325
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